

insurance was purchased by 31 of the attendees.²³ Figure 5.1 shows a simplified diagram. Using Ethereum, developers can mimic insurance pools with strings of conditional transactions. Open sourcing this process and running it on top of Ethereum's world computer allows everyday investors to put their capital in an insurance pool to earn returns from the purchasers of insurance premiums that are looking for coverage from certain events. Everyone trusts the system because it runs in the open and is automated by code.

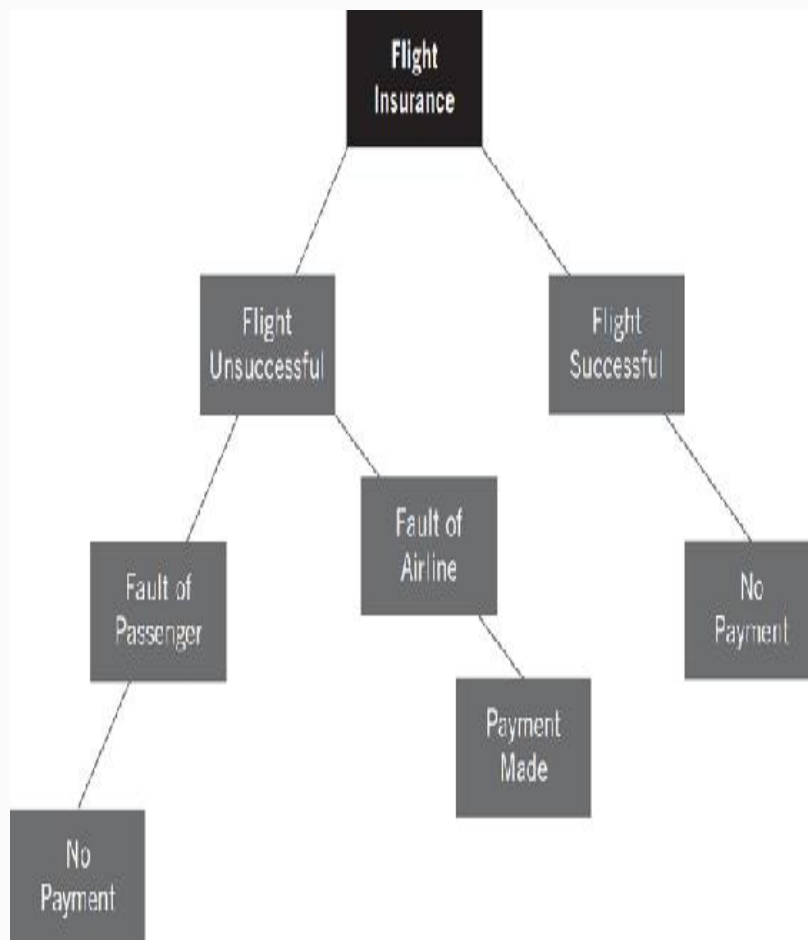


Figure 5.1 ■ Hypothetical dApp-based flight insurance